RESERVE BANK OF INDIA

Department of Regulation

Title: Master Direction on Outsourcing of Information Technology Services, 2026

Reference number: RBI/2026-27/33 DOR.OUT.REC/04/2026

Date: April 20, 2026

1. Applicability and Risk Assessment

1.1 These Directions shall apply to all outsourcing of information technology services by Regulated Entities, and each entity shall maintain a central register of all outsourcing arrangements with materiality flags reviewed at least once every six months.

1.2 Regulated Entities shall conduct a documented risk assessment before entering any material outsourcing arrangement, and the assessment shall be approved by the Board of Directors or a Board-constituted committee before contract execution.

1.3 Regulated Entities shall perform due diligence on service providers covering ownership structure, financial soundness, incident history and information-security posture, and diligence shall be refreshed at least once every twenty-four months.

2. Contracting and Concentration

2.1 Regulated Entities shall ensure outsourcing contracts confer the right to audit, ownership of data generated, and termination rights exercisable within 90 days for persistent service or control failures.

2.2 Regulated Entities shall measure concentration risk where a single provider supports multiple critical operations, and documented exit strategies with data-return timelines shall exist for every material arrangement.

2.3 Regulated Entities shall ensure customer data processed by cloud service providers remains stored within India, and localisation compliance shall be attested by the provider at least once every twelve months.

2.4 Regulated Entities shall require prior written approval for subcontracting of outsourced critical activities, and subcontractors shall be subject to the same control and audit requirements as the primary provider.

3. Assurance and Continuity

3.1 Regulated Entities shall subject material outsourcing arrangements to independent audit at least once every twelve months, and high-rated findings shall be remediated within 90 days with closure evidence retained.

3.2 Regulated Entities shall require service providers to report outages and security incidents affecting the entity within 4 hours of detection, and joint tabletop exercises shall be conducted at least once every twelve months.

3.3 Regulated Entities shall align business continuity plans of outsourced critical functions with the entity recovery objectives, and switchover capability shall be tested at least once every twelve months.